

Performance pay at Safelite Auto Glass

More output. More risk.
Would you take the deal?

Why does an eight-hour day produce only 2.5 glass units?

A Low worker effort

B Poor routing and scheduling

C Parts and warehouse errors

D Demand and travel constraints

| Which explanation is most likely? What evidence would support it?

A national company inside a fragmented industry

500

stores across the United States

3,000+

employees, including about 1,000
installers

44%

of repairs and installations completed
through mobile service

Safelite



12%

Harmon Glass



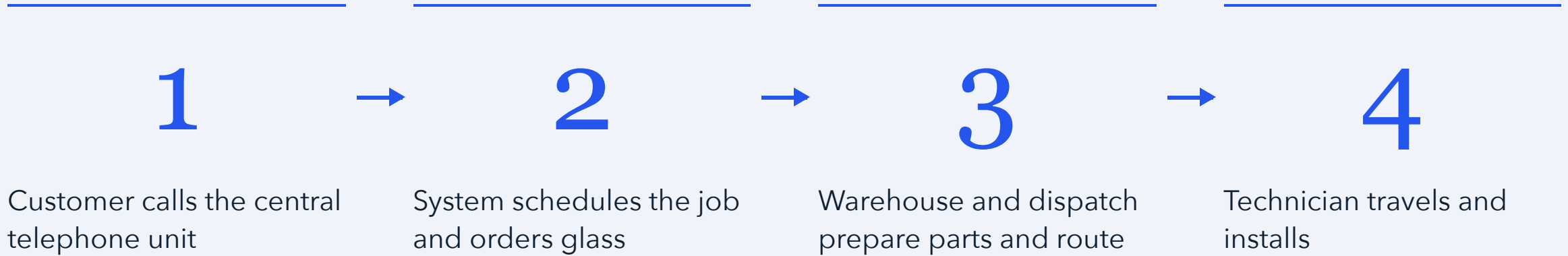
6%

DISCUSSION

10 sec

Does a national chain make worker effort easier or harder to monitor?

The market system made output measurable



Economic point: measurement improved at the same time that production became more interdependent.

DISCUSSION

10 sec

Where could one mistake stop a productive technician from finishing a job?

2.5 units account for only part of the workday

Illustrative allocation of an eight-hour day

1 windshield often took under 1 hour to install

2.5 hours installing

5.5 hours: travel, waiting, errors, breaks, and low effort

| The 5.5 hours are not automatically waste. The case does not report a clean time study.

2.5

average glass units per technician per day

Discussion

Which missing activity creates value, and which one signals avoidable slack?

The principal can observe output more easily than effort

Measured output

= effort

+ operating system

+ demand

+ luck

- 1 **Moral hazard:** hourly pay weakens the immediate return to extra effort.
- 2 **Noisy measurement:** units per day mix worker choices with factors the worker cannot control.
- 3 **Contract design:** stronger incentives improve effort but shift more risk to workers.

DISCUSSION

30 sec

If you can count installations, why can effort still be hard to observe?

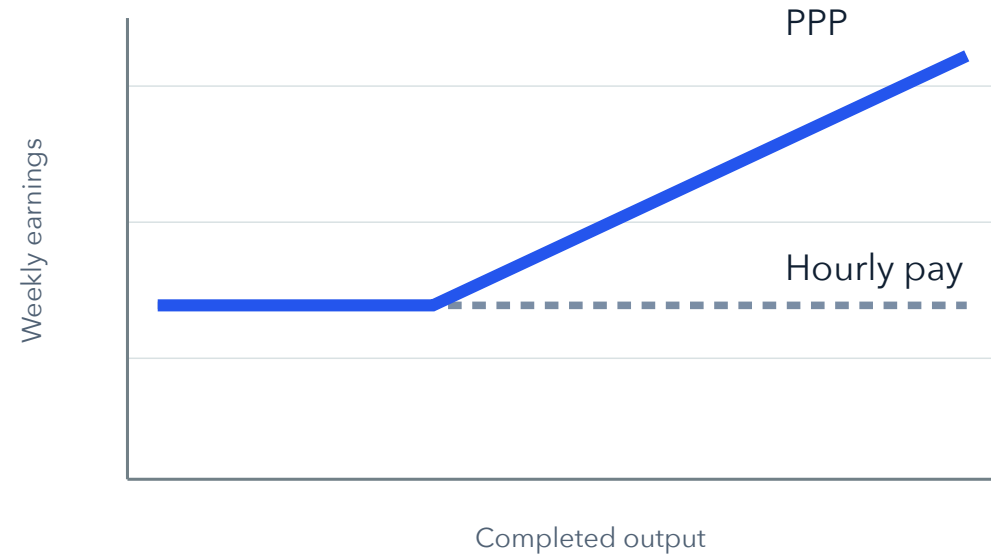
PPP rewards extra output above the guarantee

Hourly pay

An extra installation changes pay little in the current week.

Performance pay

Above the guarantee, an extra installation adds to take-home pay.



DISCUSSION

30 sec

When would one more installation add nothing to this week's paycheck?

Switching to piece rate carries the same tradeoffs in any job

Arguments for piece rate

- Ties pay directly to output without monitoring effort
- High-output workers self-select toward it
- Removes the moral hazard built into a flat wage
- Can raise total output substantially

Arguments against piece rate

- Shifts income risk onto workers when output is noisy
- Can distort effort toward measured tasks over quality or service
- Adds measurement and administration cost
- Risk-averse workers require a wage premium to accept it

The tradeoff is general: incentive strength and income insurance move in opposite directions whenever output depends on factors a worker cannot fully control.

DISCUSSION

20 sec

Name a job where piece rate would fit poorly. Why?

A piece rate sits above a changing weekly guarantee

Weeks 1-12

Safelite pays the higher of piece earnings or the technician's former hourly wage.

After week 12

Safelite lowers the guarantee by about 30% and still pays the higher of PPP earnings or the new floor.

Weekly pay = $\max(\text{piece earnings, guarantee})$

Incentive effect

The lower floor makes weak output more costly to the technician.

Insurance effect

The lower floor exposes family income to demand and operational shocks.

DISCUSSION

20 sec

Does a lower guarantee change the piece rate or the point where it starts to matter?

A five-unit day could produce \$608.96 in a sample week

Component	Weekly value
Daily glass mix, five days	\$490.00
Other installation work	\$112.51
Items sold	\$6.45
Base performance pay	\$608.96

\$15.22

hourly equivalent at 40 hours

The example assumes five glass units per day, twice the reported average.

DISCUSSION

30 sec

What must be true for the advertised \$15.22 per hour to be realistic?

Who controls each source of lost output?

Technician

Effort and pace

Using the manifest

Checking parts before departure

Safelite system

Wrong glass supplied

Routing and scheduling

Available job volume

Shared or external

Customer absent

Weather

Travel conditions

Which factor should reduce a technician's pay, and which factor should trigger an operational fix?

Should PPP include a guaranteed minimum?

Why keep a minimum?

- Protect income when offered work is low
- May reduce discouragement and quitting
- Let the firm pool shocks across markets

Where is the tradeoff?

- Weaker pay incentives below the floor
- Higher guaranteed labor cost
- Piece rewards still apply above the floor

| A floor can protect workers, but another job may add no take-home pay while piece earnings remain below it.

DISCUSSION

30 sec

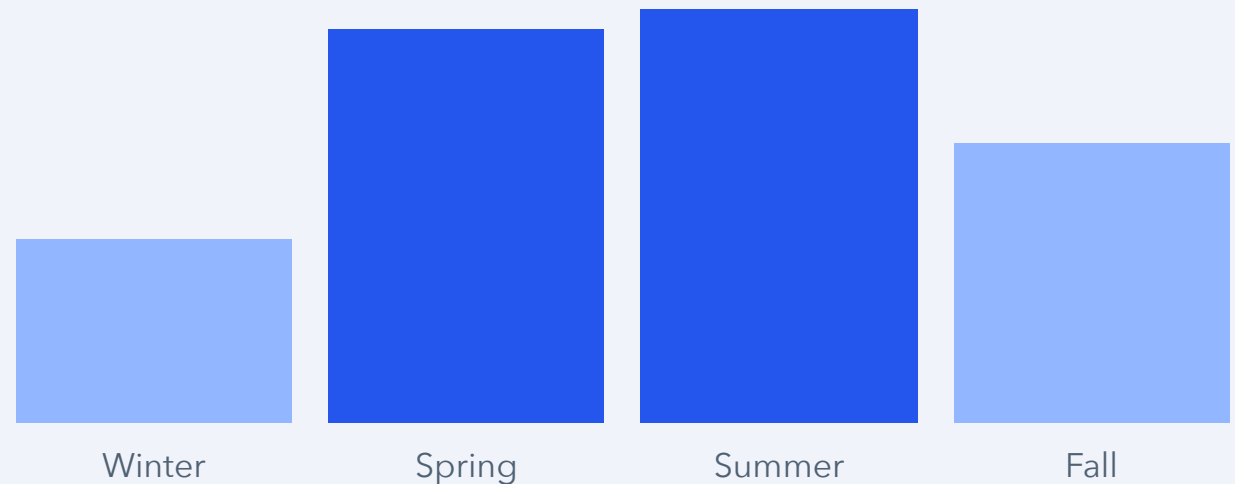
Keep the minimum, lower it, or remove it? Why?

Seasonal demand makes the guarantee economically important

Industry pattern

Spring and summer bring peak demand and fierce competition for technicians. Winter demand troughs and layoffs become common.

A rival could win an installer with only \$1 more per hour plus permission to take the truck home.



Qualitative pattern. The case gives no monthly volume series.

DISCUSSION

20 sec

Should the guarantee change when winter brings too few jobs?

The 30% guarantee cut is large in a household budget

Former hourly wage	Former 40-hour week	Guarantee after 30% cut	New guaranteed week
\$10.00	\$400	\$7.00	\$280
\$11.00	\$440	\$7.70	\$308
\$12.00	\$480	\$8.40	\$336

Management's logic

A lower floor makes the piece rate matter when output stays low.

Technician's interpretation

Safelite cuts secure pay and asks workers to earn it back.

DISCUSSION

30 sec

At \$11 per hour today, would you accept PPP with a \$308 weekly floor?

PPP changes who works at Safelite, not only how they work

More likely to stay or apply

Fast, confident technicians who expect to beat the guarantee

Workers who value upside more than income stability

Recruitment and retention can both change. Workers compare expected earnings, income risk, and outside offers.

More likely to leave or avoid Safelite

Lower-output technicians

Skilled but risk-averse workers with strong outside options

DISCUSSION

20 sec

Could PPP drive away a highly skilled technician?

Incentives can reward the wrong outcome

Charlie Munger: “Reward and Punishment Superresponse Tendency”
Incentives can strongly shape behavior and judgment. (*Paraphrase*)

Hanoi, 1902: rat-tail bounty

Goal: Fewer rats and less disease

Reward: Tails as evidence of dead rats

Result: Rat farming and live, tailless rats

Safelite: quantity and quality

Goal: Safe, reliable installations

Reward: Completed units and selected tasks

Risk: Rushed checks or neglected service

| **Discuss:** What is Safelite’s “rat-tail” metric? What guardrail keeps it aligned with the goal?

Manager incentives depend on store size and job design

Store class	Technicians	Time installing	Time managing	PPP eligible?
DCC / CTU or AA	Up to 30	0%	100%	No
A	3	25%	75%	Yes
B	2	40%	60%	Yes
C	2	75%	25%	Yes
D	0	100%	0%	Yes

PPP can encourage lean staffing, but a manager may underinvest in coaching or staffing if installations pay more visibly.

DISCUSSION

10 sec

Should a store manager's bonus depend on personal output or the team's output?

How should pay respond to these four situations?

01

Wrong glass

The warehouse supplied the wrong part. The technician caught it before departure.

02

Customer absent

The technician arrived on time, but the customer was not there.

03

Winter demand

Dispatch has only three jobs available for the day.

04

Repeat repair

A prior installation failed and requires rework.

For each situation, should pay include full piece credit, partial credit, the guarantee only, or a quality penalty?

Five questions on incentive economics

1. Under hourly pay, what happens to immediate pay after one extra installation?

2. A wrong part supplied on 10%-20% of jobs creates what contract problem?

3. Who bears more winter demand risk after the guarantee falls 30%?

4. If low-output workers leave after PPP, what economic effect raises average productivity?

5. Paying for quantity while quality stays hard to measure creates what concern?

Three contracts solve different problems

Criterion	Keep hourly pay	PPP as designed	Modified PPP
Effort incentive	Weak	Strong	Strong
Income insurance	High	Low after week 12	Targeted
Turnover risk	Low	High	Moderate
Quality protection	Indirect	Unclear	Explicit guardrails
Operational accountability	Weak	Worker pressure	Shared scorecard
Simplicity	High	Moderate	Lower

Technicians reported some DCC managers "didn't hustle" and assigned jobs "equitably" rather than to the fastest worker, a second moral-hazard problem on the dispatch side that PPP alone does not fix.

DISCUSSION

20 sec

Which rating in this table would you challenge?

Modified PPP can preserve the slope and improve the floor

Guarantee

Reduce the floor gradually, or vary it by season and the volume of jobs Safelite makes available.

Controllable credits

Give partial credit for verified customer absences and warehouse errors when the technician followed process.

Quality gate

Pay piece rates only when rework, safety, and complaint measures stay within an acceptable range.

Pilot scorecard

Track output, total labor cost per unit, quality, earnings dispersion, quits, and customer service by market.

Separate measurement

Mobile technicians face travel and routing variance that in-store technicians do not. Consider a separate baseline or partial credit for verified travel delays.

When is paying more for output fair?

What would you choose: hourly pay, salary, or a base plus performance pay?

Same skill, different opportunity

Two technicians work the same hours with equal effort and quality. One route offers six jobs, the other three.

What would you investigate?

Should higher output mean higher pay? What if average pay differs between men and women, or older and younger workers?

Before judging a gap: compare assignments, training, hours, quality, and evaluation rules.

DISCUSSION

2 min

Would hourly pay or a salary solve the fairness problem?

What should Safelite do now?

A

Roll out PPP as designed

Keep the 30% guarantee cut after 12 weeks.

Benefit: Faster rollout of the existing incentive plan.

Tradeoff: More worker income risk and possible turnover.

B

Modify and roll out PPP

Retain piece rates with risk and quality protections.

Benefit: Better alignment with factors workers control.

Tradeoff: More design, measurement, and administration costs.

C

Keep hourly pay

Address possible operating bottlenecks first.

Benefit: Stable pay for a given number of hours.

Tradeoff: Weak immediate pay incentives for extra output.

| Which option would you recommend, and why? What evidence would change your recommendation?